

TSEC Risk & Cyber Advisory LLC

Integrated Cybersecurity, Risk & Compliance Advisory

TSEC-FREE-010

AML Compliance Checklist

Anti-Money Laundering Program Readiness Assessment

BSA/AML | FinCEN | FFIEC BSA/AML Examination Manual

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1. Purpose & Applicability

This checklist is designed to help financial institutions and regulated entities assess the adequacy of their Anti-Money Laundering (AML) compliance program. It is aligned with the Bank Secrecy Act (BSA), FinCEN regulations, and FFIEC examination guidance.

2. AML Program — Four Pillars

Pillar 1: Policies, Procedures & Internal Controls

#	Control / Requirement	Status (✓/✗/NA)
1	A written AML Compliance Program is in place and approved by senior management.	
2	AML policies cover CDD, EDD, SAR filing, CTR reporting, and recordkeeping.	

3	Internal controls are commensurate with the institution's size, complexity, and risk profile.	
4	AML policies are reviewed and updated at least annually.	
5	Dual controls and segregation of duties are in place for AML-critical functions.	

Pillar 2: Designated Compliance Officer

#	Control / Requirement	Status (✓/X/NA)
1	A BSA/AML Compliance Officer is designated with appropriate authority and resources.	
2	The Compliance Officer has direct access to senior management and the Board.	
3	Succession planning ensures continuity of the compliance function.	
4	The Compliance Officer is current on regulatory updates and attends annual training.	

Pillar 3: Ongoing Training

#	Control / Requirement	Status (✓/X/NA)
1	AML training is provided to all relevant staff upon hire.	
2	Annual AML refresher training is conducted and completion documented.	
3	Role-specific training is provided to: front-line staff, compliance team, and senior management.	
4	Board receives an annual AML program briefing.	
5	Training content is updated to reflect current typologies and regulatory guidance.	

Pillar 4: Independent Audit / Testing

#	Control / Requirement	Status (✓/X/NA)
1	Independent testing (internal audit or external firm) of the AML program is conducted annually.	
2	Audit findings are tracked, reported to management, and remediated within defined SLAs.	
3	Audit scope covers: policies, transaction monitoring, CDD, SAR/CTR filing, training, and OFAC screening.	
4	The auditor is independent of the AML compliance function.	

3. Customer Due Diligence (CDD) & KYC

CDD / KYC Requirements

#	Control / Requirement	Status (✓/X/NA)
1	Customer identification procedures (CIP) are documented and followed for all new accounts.	
2	Beneficial ownership is collected for legal entities (25% threshold per FinCEN Rule).	
3	Customer risk scoring is applied at onboarding and updated upon material change.	
4	Enhanced Due Diligence (EDD) is applied to high-risk customers (PEPs, high-risk geographies).	
5	Ongoing monitoring of customer activity is performed against expected behavior profiles.	
6	CDD records are retained for a minimum of 5 years following account closure.	

4. Transaction Monitoring & Suspicious Activity

SAR Filing & Transaction Monitoring		
#	Control / Requirement	Status (✓/X/NA)
1	An automated transaction monitoring system (TMS) is in place and calibrated to risk.	
2	Alert thresholds and rules are reviewed at least annually.	
3	SARs are filed within 30 days of detection of suspicious activity (60 days if no subject identified).	
4	SAR filing decisions are documented with supporting rationale.	
5	CTR (Currency Transaction Report) is filed for cash transactions exceeding 0,000.	
6	A process exists for voluntary self-disclosure and proactive regulatory communication.	